

ITEM 1. BUSINESS

Vertex Cloud Systems, Inc. ("Vertex", "the Company", "we", "us") provides a cloud-based enterprise resource planning (ERP) platform for mid-market and large enterprise customers. Our subscription software is sold globally through a direct sales force and channel partners. As of fiscal year end 2024, the Company employed approximately 3,400 people.

ITEM 1A. RISK FACTORS

The following risk factors describe the most significant risks to our business, financial condition, and results of operations as of fiscal 2024.

1. Data Privacy and Regulatory Compliance Risk (Category: Regulatory, Severity: High)

We are subject to evolving data privacy laws across jurisdictions, including the GDPR and various U.S. state privacy laws. Non-compliance could result in significant fines, penalties, and reputational harm.

2. Customer Concentration Risk (Category: Operational, Severity: Medium)

Our top five enterprise customers represented approximately 21% of total revenue in fiscal 2024. A loss of any of these customers could adversely affect our results of operations.

3. Intense Competition in Cloud Software Market Risk (Category: Competitive, Severity: High)

The enterprise cloud software market is highly competitive. In fiscal 2024, several well-capitalized competitors launched directly competitive products and engaged in aggressive price discounting, intensifying competitive pressure beyond what we described in our fiscal 2023 Annual Report.

4. Talent Retention Risk (Category: Operational, Severity: Low)

Our success depends on our ability to attract and retain highly skilled engineering and sales talent in a competitive labor market.

5. Cybersecurity Breach Risk (Category: Technology, Severity: High)

A significant security breach involving customer data could result in loss of customers, litigation, regulatory penalties, and reputational damage.

6. Artificial Intelligence Regulation Risk (Category: Regulatory, Severity: Medium)

During fiscal 2024, governments in multiple jurisdictions proposed or enacted new regulations governing the development and deployment of artificial

intelligence features within enterprise software. This is a new risk factor that was not present in our fiscal 2023 Annual Report and could require us to modify or delay AI-related product features.

ITEM 7. MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

Overview

Fiscal 2024 was an excellent year for Vertex Cloud Systems. We are thrilled with our record results, and we are confident that our accelerating growth reflects the strength of our platform and the continued shift of enterprise workloads to the cloud. We remain confident in our long-term growth strategy.

Results of Operations

Total revenue for fiscal 2024 was \$1,011.5 million, compared to \$850.2 million in fiscal 2023. Gross profit was \$738.4 million, representing a gross margin of approximately 73.0%. Operating income was \$111.3 million, representing an operating margin of approximately 11.0%. EBITDA for fiscal 2024 was \$172.0 million, representing an EBITDA margin of approximately 17.0%. Net income was \$60.7 million, representing a net margin of approximately 6.0%.

Liquidity and Capital Resources

Net cash provided by operating activities was \$175.6 million for fiscal 2024. Capital expenditures were \$50.6 million, resulting in free cash flow of \$125.0 million. Total debt outstanding at year end was \$620.0 million, and cash and cash equivalents were \$300.8 million.

Forward Guidance

For fiscal year 2025, we expect total revenue in the range of \$1,180 million to \$1,220 million, and diluted earnings per share in the range of \$0.78 to \$0.85. We are confident in our ability to achieve this guidance based on current pipeline visibility.

ITEM 8. FINANCIAL STATEMENTS (SUMMARY)

Income Statement (USD millions)

Revenue: 1011.5

Gross Profit: 738.4

Operating Income: 111.3

EBITDA: 172.0

Net Income: 60.7

Cash Flow Statement (USD millions)

Operating Cash Flow: 175.6

Capital Expenditures: 50.6

Free Cash Flow: 125.0

Balance Sheet (USD millions)

Total Debt: 620.0

Cash and Cash Equivalents: 300.8